

Lecture 1 Team Projects

Bond Features, Structures, Markets, and Risks

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1 Project 1: Read the Bond Before Recommending It

Scenario. Compare two recent bonds from the same or similar issuers for a conservative-income mandate.

Objectives. Extract coupon, maturity, seniority, security, call, sinking-fund, and covenant terms; map them to cash flows and major risks; recommend the better fit.

Sources. Issuer prospectuses and annual reports on SEC EDGAR or SEDAR+; FINRA Fixed Income Data; instructor snapshot if needed.

Deliverables. Term-sheet comparison, six-link feature-to-risk map, recommendation with two limitations, and a 10–12 minute presentation.

Rubric (100 points). Contract accuracy 25; cash-flow analysis 25; risk reasoning 25; recommendation and limitations 15; presentation and attribution 10.

2 Project 2: Funding Choice for a Corporate Treasurer

Scenario. Choose among a fixed-rate bond, floating-rate note, and bank loan for medium-term funding.

Objectives. Compare cash-flow uncertainty, refinancing risk, covenants, seniority, and investor base; relate the choice to asset duration; define conditions that would change the recommendation.

Sources. Public issuer annual report, debt footnote, and investor presentation; FRED or Bank of Canada benchmark rates; issuer filings or instructor terms.

Deliverables. Funding-needs diagnosis, three-structure comparison, annual interest-cost scenarios, recommendation and triggers, and a 10–12 minute presentation.

Rubric (100 points). Issuer analysis 20; structure comparison 30; scenarios 20; recommendation 20; presentation and documentation 10.